

Executive Summary

Answer:

Price sensitivity contributes to customer churn, but it is not the sole driver. By combining customer consumption, contract, and pricing data, PowerCo can identify customers with a higher likelihood of leaving and take preventive actions to improve retention.

Situation:

PowerCo aims to understand why customers leave and whether price-related factors significantly influence churn. Customer and historical pricing datasets were analyzed to uncover patterns associated with customer attrition.

Complication :

Churn behavior is complex and affected by several interacting variables. Relying solely on price changes makes it difficult to accurately identify customers who are likely to churn, leading to inefficient retention efforts.

Question:

Which customer characteristics and business factors are the strongest predictors of churn, and how can PowerCo use these insights to prioritize retention strategies and reduce customer losses?